AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

Meta Platforms

NASDAQ : META · Mature-Company DCF

$1789.84B mkt cap · 2.57B sh · $81.6B cash, $58.7B debt · Net cash +$22.9B at YE25; FY25 buybacks ~$26B + dividends ~$5B, then no buybacks in H1'26; Revenue $201B FY25 (+22%); GAAP op margin 41.4%; FCF $46.1B, or ~$25.7B after $20.4B of stock comp; capex ~$72B, guided to $130-145B; $741 at the Sep-21 close: +12% YTD, +30% since Aug 31 (+11% on Sep 21), ~7% below the $796 Aug-2025 high

22 October 2026 · the qualitative

$697.52

THE CENTRAL QUESTION

Is the ~$130B/yr AI capex building a second act beyond ads — the only case that clears ~$1.9T once stock comp is charged as a cost?

Meta trades at ~$1.90T (~$741, +12% YTD, +30% since Aug 31). Revenue grew +33% in Q1'26 and +28% in Q2 while capex heads to $130-145B (~2× FY25). Reported FCF adds back stock comp ($20.4B, 10% of FY25 revenue); charged as the real cost it is, FY25 FCF falls from $46.1B to ~$26B, or ~73× EV/FCF vs ~41× reported. The probability-weighted value sits ~47% below spot and the base case ~51% below, with 93% of the probability at or below the price.

PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) -47.6% · 93% at or below spot

$393.65 expected fair value today

-43.6% vs spot $697.52

FORWARD COMPOUNDED VALUE

+5y	+10y	+15y	+20y
$601.02	$918.08	$1,403.13	$2,145.53
0.86× spot	1.32× spot	2.01× spot	3.08× spot

WEIGHTING RATIONALE

Ultra Bear 12% Capex burns; ad growth fades; margins compress; ~$133 (-82%).

Bear 27% Growth normalizes; D&A weighs on margins; ~$230 (-69%).

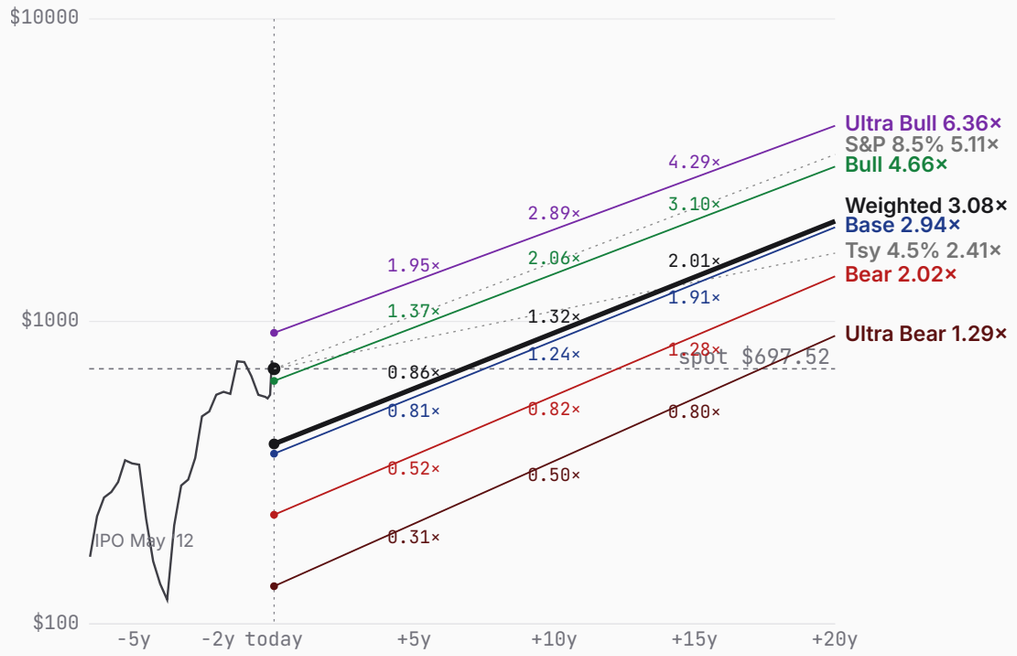
Base 34% AI lifts ads; margins hold ~41%; ~$365 (-51%).

Bull 20% AI ad engine compounds; capex pays off; ~$636 (-14%).

Ultra Bull 7% AI platform second act; FCF machine; ~$917 (+24%).

Bull (20%) + Ultra Bull (7%) together contribute $191.40 — 49% of the $393.65 expected value despite 27% combined probability. Today's spot ($697.52) sits 77% above the weighted expected; the forward-weighted value reaches spot in about 7 years.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



ULTRA BEAR — $133.30

-80.9% vs spot

CAGR +7.0% WACC 10.0%
CAGR +7.0% Prob 12%

Capex burns; ad growth fades; margins compress.

BEAR — $229.60

-67.1% vs spot

CAGR +11.1% WACC 9.5%
CAGR +11.1% Prob 27%

Growth normalizes; D&A weighs on margins.

BASE — $365.49

-47.6% vs spot

CAGR +13.9% WACC 9.0%
CAGR +13.9% Prob 34%

AI lifts ads; margins hold ~41%; FCF compounds.

BULL — $635.98

-8.8% vs spot

CAGR +17.5% WACC 8.5%
CAGR +17.5% Prob 20%

AI ad engine compounds; capex pays off.

ULTRA BULL — $917.14

+31.5% vs spot

CAGR +21.5% WACC 8.2%
CAGR +21.5% Prob 7%

AI platform second act; FCF machine.

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Meta Platforms scenario narratives

PROBABILITY WEIGHTS

Ultra Bear 12% Bear 27% Base 34% Bull 20% Ultra Bull 7% · Weighted expected $393.65 (-43.6% vs spot)

ULTRA BEAR $133.30

-80.9% vs spot

Probability 12%

Capex burns; ad growth fades; margins compress.

WHY 12%

The genuine bear: the market already flinched (-6% after-hours) on the capex raise, the ROI is unproven, and Reality Labs has lost ~$80B cumulatively. 12% weight on the spend failing to convert to durable ad gains.

WHAT HAPPENS

The capex-ROI fear plays out: the $130-145B buildout lands as years of D&A ahead of return, AI ad efficiency plateaus, the ad cycle softens, and Reality Labs keeps bleeding ~$24B/yr. Revenue growth decelerates into the mid-single digits and FCF after stock comp stays near ~8-10% of revenue as depreciation outruns the operating line.

An ad business growing slowly while spending ~2x prior year on uncertain-return compute earns a ~14x terminal multiple on FCF after stock comp: DCF ~$133 (-82%). Net cash of ~$9/share cannot offset a buildout that does not earn its cost of capital.

BEAR $229.60

-67.1% vs spot

Probability 27%

Growth normalizes; D&A weighs on margins.

WHY 27%

Share gains and pricing continue but the D&A from ~$130B/yr capex caps margin and free cash flow. 27% as the plausible 'grows but the spend weighs' path given the elevated-capex regime.

WHAT HAPPENS

Ad growth normalizes off the +33% spike toward high-single/low-double-digit as the buildout's depreciation steps up, AI lifts pricing but only modestly, and Reality Labs stays a drag. Operating margin holds high-30s and FCF after stock comp sits ~10-13% of revenue as capex stays elevated against a larger D&A base.

DCF ~$230 (-69%) - a still-dominant ad franchise, but one digesting a heavy buildout at a ~16x terminal multiple on FCF after stock comp is worth about a third of today's price; the gap is warranted if the capex weighs on free cash flow longer than the ad engine compounds.

BASE $365.49

-47.6% vs spot

Probability 34%

AI lifts ads; margins hold ~41%; FCF compounds.

WHY 34%

Requires the AI capex to roughly earn its cost of capital while ad growth stays double-digit - consistent with the accelerating Q1'26 ad metrics and 41% margins, but not a step-change. 34% as the central outcome, still ~51% below the price.

WHAT HAPPENS

The modal path: AI-driven ad efficiency keeps lifting volume and price (the Q1'26 +33% is the first datapoint), revenue compounds ~14% a year to ~$385B by FY30, and operating margin holds ~41% as the buildout's returns roughly offset its D&A. FCF after stock comp grinds from ~12% of revenue toward ~16% as capex moderates against a larger base.

DCF ~$365 (-51%) - the ad engine compounds and the capex earns roughly its cost of capital, yet at a ~19x terminal multiple on FCF after stock comp the modal case is worth about half of today's price; the price already assumes more than the central outcome.

BULL $635.98

-8.8% vs spot

Probability 20%

AI ad engine compounds; capex pays off.

WHY 20%

Meta's own AI tools are already in the core ad stack and Q1'26 showed both volume and price accelerating; if that durability holds, the capex earns well above its cost. 20% weight on the buildout becoming a real ad-monetization engine.

WHAT HAPPENS

The capex pays off: AI ad-creation (Muse Spark, adopters ~8M) and ranking durably lift impressions and price, the buildout's return outruns its D&A, and operating margin expands past 42% as the ad engine scales on the compute. Revenue compounds high-teens and FCF after stock comp climbs from ~14% of revenue toward ~20% as capex intensity peaks and rolls over.

DCF ~$636 (-14%) - even if the AI spend converts to a structurally faster, higher-margin ad engine, a ~23x terminal multiple on FCF after stock comp leaves the bull below today's price: the capex paying off is already in the stock.

ULTRA BULL $917.14

+31.5% vs spot

Probability 7%

AI platform second act; FCF machine.

WHY 7%

Everything works - AI lifts ads AND opens a messaging/agent revenue stream AND the compute becomes a platform asset, the AWS/datacenter-style second act. ~7%, the long-duration tail.

WHAT HAPPENS

The full second act: AI compounds ad monetization across the 3B+ user graph, business-messaging and AI agents open a new revenue stream beyond the core ad TAM, and the compute buildout becomes an owned platform asset. Operating margin pushes mid-40s and FCF after stock comp climbs toward ~23% of revenue as the spend turns into durable, high-incremental-margin revenue.

DCF ~$917 (+24%) - the buildout earns a platform multiple (~25x terminal FCF after stock comp) as AI becomes an earnings engine rather than a cost; at ~7% probability, the only scenario that clears today's price.

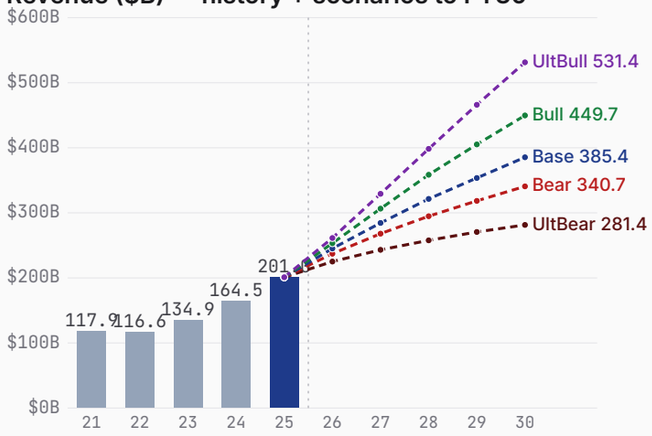
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Meta Platforms business snapshot

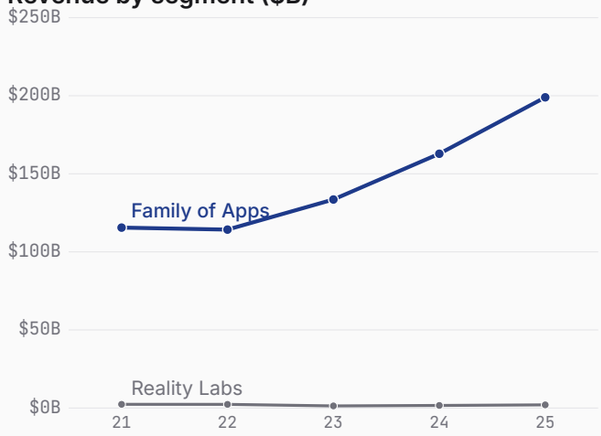
Bear $229.60 Base $365.49 Bull $635.98

FY21-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec · Q1 2026 (Apr'26) results

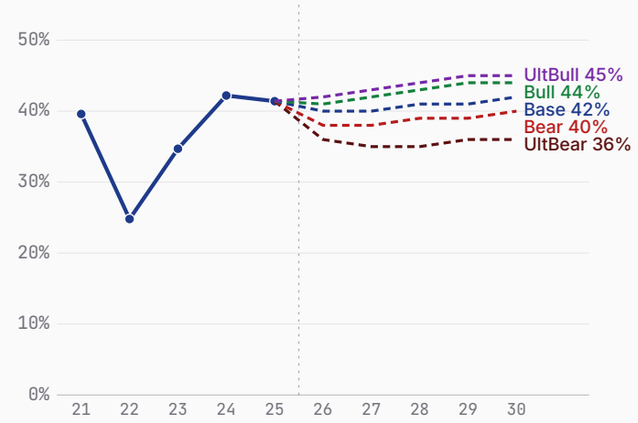
Revenue ($B) — history + scenarios to FY30



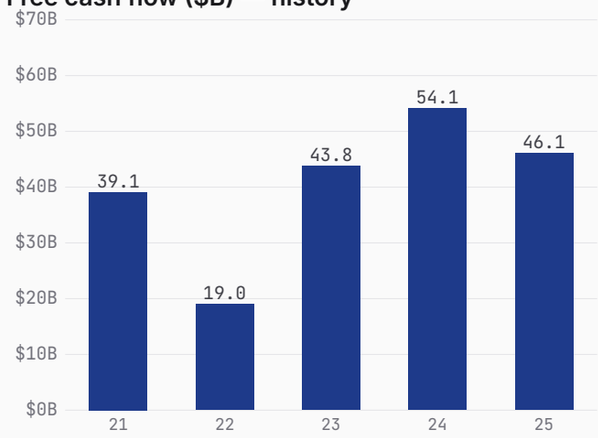
Revenue by segment ($B)



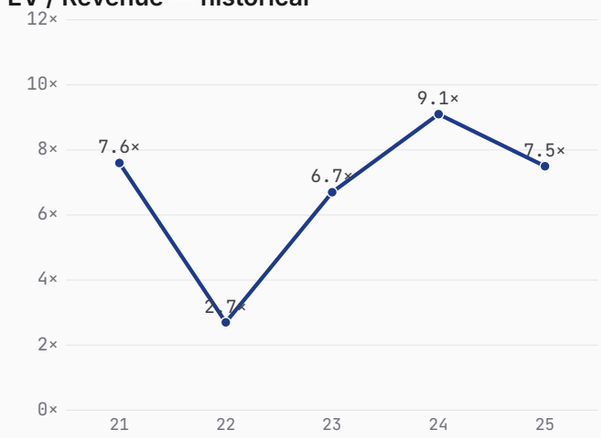
Op margin — history + scenarios



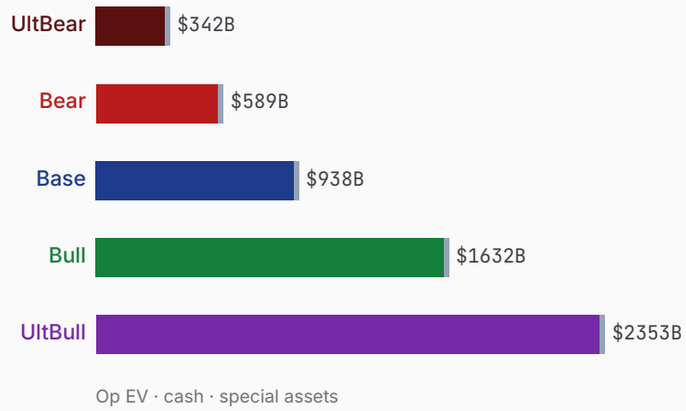
Free cash flow ($B) — history



EV / Revenue — historical



Equity build (Op EV + net cash)



Sources: SEC XBRL company facts (CIK 1326801; revenue, margins, cash flow, stock comp, debt), Meta Q1 2026 release (revenue $56.3B +33%, ads ~$55B, impressions +19%, price/ad +12%, 41% operating margin, Reality Labs ~$6B/qtr loss; FTC trial won Nov-2025, appeal Jan-2026), Q2 2026 release/10-Q (capex outlook $130-145B; 2,566M diluted shares). Revenue grows off FY25; FCF = revenue x FCF margin less stock comp (10.2% of FY25 revenue); Gordon terminal at scenario WACC.

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Meta Platforms 7 Powers · the moat, scored

Bear $229.60 Base $365.49 Bull $635.98

Arena. Digital advertising / social platforms - Meta (3B+ user social graph, ~$55B/qtr ads, 41% margin) vs Alphabet/Google, Amazon ads, TikTok/ByteDance, and Snap/Pinterest/Reddit; auditing a branding + network-economies + scale Power against the AI-capex ROI question.

POWER AUDIT
dominant-power durability: high

POWER AUDIT · 7 POWERS

Scale Economies ■■■	Massive: ~$200B revenue and a global ad/infra base spread fixed R&D and compute across 3B+ users; AI capex deepens the cost-per-impression advantage if it earns out.
Network Economies ◂ thesis leans here ■■■	The core Power: the social graph compounds - more users and content make each app more valuable to users and advertisers; cross-app (FB/IG/WhatsApp) reinforces it.
Counter-Positioning ■□□	Was the mobile-social disruptor; now the incumbent being counter-positioned by TikTok's algorithmic feed, which forced the Reels response.
Switching Costs ■■□	Moderate: social graph + content history + creator relationships create stickiness, but users multi-home and attention is contestable.
Branding ■■■	Real: Instagram/WhatsApp are category-defining consumer brands with global mindshare, though the corporate brand is contested and ad-trust is a perennial overhang.
Cornered Resource ■■□	The 3B+ user behavioral/interest dataset and the social graph itself are hard to replicate; tempered by privacy regulation (DMA, ATT) constraining its use.
Process Power ■■■	AI ad-ranking, creative (Muse Spark) and infra are a compounding learning curve; the open question is whether the capex turns this into durable monetization.

PEER SET

Alphabet (GOOGL) 15% gr · 32% mgn · ~57x EV/FCF
The other ad duopolist - Search/YouTube + full AI stack; the scale/margin benchmark and direct ad-budget competitor.

Amazon (AMZN) 13% gr · 11% mgn · ~4x EV/sales
Fastest-growing large ad platform (retail-media), taking share of performance budgets at the margin.

ByteDance / TikTok · private
The attention threat that forced Reels; algorithmic short-form competing directly for engagement and ad dollars.

Snap / Pinterest / Reddit 15% gr · 8% mgn · ~5x EV/sales
Sub-scale social-ad peers; pressure on incremental ad budgets, not the core graph.

THREAT VECTORS · FALSIFIERS

Network Economies · ByteDance / TikTok (attention)
falsifier: Family DAP growth stalls or turns negative as engagement and time-spent shift to short-form rivals, capping the impression base.

Process Power · AI-capex ROI (Alphabet's full stack)
falsifier: Ad growth decelerates while D&A from the ~$130B/yr buildout keeps climbing - the spend fails to convert to durable monetization.

Cornered Resource · Privacy regulation (DMA, ATT, FTC appeal)
falsifier: EU 'pay or consent' / signal-loss erodes ad targeting and pricing, or the FTC appeal reopens the structural-separation risk.

> **COMPETITIVE READ**
> Meta's network-economies Power is genuinely durable (high): the 3B+ social graph compounds, reinforced by scale across a ~$200B ad base and the Instagram/WhatsApp brands - and revenue growth of +33% in Q1'26 and +28% in Q2 shows the engine still growing fast. The Audit: network economies dominates, scale and branding reinforce it, and the live threats are TikTok's pull on attention, privacy regulation, and above all the ~$130B/yr AI-capex ROI. The Power does not rescue the price: at ~73x FCF after stock comp (~41x reported), the DCF lands a weighted -46.9%, the base ~51% below spot, and only the ultra-bull clears it.

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Meta Platforms show your work

Bear $229.60 Base $365.49 Bull $635.98 · Weighted $393.65 (-43.6%)

ULTRA BEAR $133.30

ASSUMPTIONS

5y revenue CAGR (%)	+7.0
Year-5 op margin (%)	36.0
WACC (%)	10.0
Terminal growth (%)	2.5
Terminal FCF ($B)	$27.68B
Starting revenue ($B)	201.00
Scenario probability (%)	12

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	225.12	+36%	+17.64	+16.04
FY27	243.13	+35%	+19.05	+15.74
FY28	257.72	+35%	+22.77	+17.11
FY29	270.60	+36%	+26.62	+18.18
FY30	281.43	+36%	+27.68	+17.19

Σ PV explicit FCF	+84.25
+ PV terminal (g 2.5%)	234.89

EQUITY BUILD · $B & PER SHARE

Operating EV	$319.14B
+ Cash & investments	$81.60B
− Total debt	$58.70B
= Equity value	$342.04B
FY30 shares (M)	2,566
= Expected per share	**$133.30**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$214.68	$345.75	$556.83	$896.78
0.31×	0.50×	0.80×	1.29×

BEAR $229.60

ASSUMPTIONS

5y revenue CAGR (%)	+11.1
Year-5 op margin (%)	40.0
WACC (%)	9.5
Terminal growth (%)	3.0
Terminal FCF ($B)	$43.73B
Starting revenue ($B)	201.00
Scenario probability (%)	27

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	237.18	+38%	+23.33	+21.30
FY27	268.01	+38%	+29.04	+24.22
FY28	294.81	+39%	+34.89	+26.58
FY29	318.40	+39%	+37.69	+26.21
FY30	340.69	+40%	+43.73	+27.78

Σ PV explicit FCF	+126.09
+ PV terminal (g 3.0%)	440.17

EQUITY BUILD · $B & PER SHARE

Operating EV	$566.26B
+ Cash & investments	$81.60B
− Total debt	$58.70B
= Equity value	$589.16B
FY30 shares (M)	2,566
= Expected per share	**$229.60**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$361.45	$569.00	$895.74	$1,410.11
0.52×	0.82×	1.28×	2.02×

BASE $365.49

ASSUMPTIONS

5y revenue CAGR (%)	+13.9
Year-5 op margin (%)	42.0
WACC (%)	9.0
Terminal growth (%)	3.5
Terminal FCF ($B)	$61.03B
Starting revenue ($B)	201.00
Scenario probability (%)	34

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	245.22	+40%	+29.02	+26.63
FY27	284.46	+40%	+36.51	+30.73
FY28	321.43	+41%	+44.47	+34.34
FY29	353.58	+41%	+52.45	+37.16
FY30	385.40	+42%	+61.03	+39.66

Σ PV explicit FCF	+168.52
+ PV terminal (g 3.5%)	746.43

EQUITY BUILD · $B & PER SHARE

Operating EV	$914.95B
+ Cash & investments	$81.60B
− Total debt	$58.70B
= Equity value	$937.85B
FY30 shares (M)	2,566
= Expected per share	**$365.49**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$562.35	$865.25	$1,331.29	$2,048.36
0.81×	1.24×	1.91×	2.94×

BULL $635.98

ASSUMPTIONS

5y revenue CAGR (%)	+17.5
Year-5 op margin (%)	44.0
WACC (%)	8.5
Terminal growth (%)	4.0
Terminal FCF ($B)	$89.20B
Starting revenue ($B)	201.00
Scenario probability (%)	20

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	253.26	+41%	+35.04	+32.30
FY27	306.44	+42%	+48.53	+41.22
FY28	358.54	+43%	+63.95	+50.06
FY29	405.15	+44%	+76.31	+55.06
FY30	449.72	+44%	+89.20	+59.33

Σ PV explicit FCF	+237.97
+ PV terminal (g 4.0%)	1371.06

EQUITY BUILD · $B & PER SHARE

Operating EV	$1609.03B
+ Cash & investments	$81.60B
− Total debt	$58.70B
= Equity value	$1631.93B
FY30 shares (M)	2,566
= Expected per share	**$635.98**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$956.30	$1,437.94	$2,162.17	$3,251.16
1.37×	2.06×	3.10×	4.66×

ULTRA BULL $917.14

ASSUMPTIONS

5y revenue CAGR (%)	+21.5
Year-5 op margin (%)	45.0
WACC (%)	8.2
Terminal growth (%)	4.0
Terminal FCF ($B)	$121.34B
Starting revenue ($B)	201.00
Scenario probability (%)	7

5-YEAR DCF · $B

FY	Rev	Margin	FCF	PV FCF
FY26	261.30	+42%	+38.77	+35.83
FY27	329.24	+43%	+58.72	+50.16
FY28	398.38	+44%	+79.02	+62.38
FY29	466.10	+45%	+101.78	+74.26
FY30	531.36	+45%	+121.34	+81.82

Σ PV explicit FCF	+304.44
+ PV terminal (g 4.0%)	2026.04

EQUITY BUILD · $B & PER SHARE

Operating EV	$2330.48B
+ Cash & investments	$81.60B
− Total debt	$58.70B
= Equity value	$2353.38B
FY30 shares (M)	2,566
= Expected per share	**$917.14**

FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

+5y	+10y	+15y	+20y
$1,360.10	$2,017.01	$2,991.19	$4,435.89
1.95×	2.89×	4.29×	6.36×

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Meta Platforms People · Opportunity · Context · Deal

Bear $229.60 Base $365.49 Bull $635.98

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

Mark Zuckerberg · `founder-led` 22 yrs in seat

14%
insider ownership

HIGH
key-person risk

Capital allocation (realized)
Turned shareholder-return on aggressively: a $50B buyback authorization (Feb 2024) on top of prior programs, with ~$29.75B of Class A repurchased in FY2024 and ~$26B in FY2025, then none in H1 FY2026 as capex stepped up; plus the first-ever dividend ($0.50/quarter, initiated Feb 2024; ~$5.07B FY2024 incl. dividend equivalents). M&A built the franchise (Instagram 2012, WhatsApp 2014, Oculus 2014); subsequent deals drew FTC/antitrust scrutiny. Heavy R&D/capex — large multi-year AI/datacenter spend and the Reality Labs segment running deep operating losses. Stock comp ~$20.4B FY2025 (10.2% of revenue; ~$16.7B FY2024).

Incentive alignment
Pay is not the alignment lever — the founder stake is: FY2024 salary was $1 (by his request), $0 bonus, $0 new equity; reported other compensation (~$27.2M) is overwhelmingly personal security and aircraft costs, not incentive pay. No PSU/TSR program for the CEO (he takes no equity grants).

GOVERNANCE FLAGS

- super-voting dual-class (Class B = 10 votes vs Class A = 1) → ~61% founder voting control on ~14% economics
- Zuckerberg owns ~99.8% of Class B — voting control is non-dilutable by outside Class A issuance
- combined Chair + CEO (founder holds both roles)
- controlled company under Nasdaq rules — exempt from majority-independent-board requirements (Meta opts in anyway; board majority-independent)
- no independent shareholder check — the controller carries every shareholder vote

THE FOUR LEGS

People ●●○○○
observable composite · 1–5

Opportunity
The scenario distribution · the business snapshot · the Arthur Indicator

Context
The 7 Powers analysis (Power Audit)

Deal
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
`-43.6% vs spot $697.52`

> PEOPLE READ
>
> Founder-Chair-CEO with ~14% economics but ~61% non-dilutable voting control via Class B (10:1) — outsiders cannot force change and every shareholder vote is pre-decided. Aligned through the stake (not pay: $1 salary, $0 equity) and heavy returns through FY2025 (a $50B buyback, with no repurchases in H1 2026, plus the 2024 first-ever dividend), but the governance offsets stack: super-voting control, combined Chair/CEO, and controlled-company status.

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Meta Platforms supporting analysis · disclaimers · glossary

Bear $229.60 Base $365.49 Bull $635.98

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **FY25 cash flow is a capex trough.**
FCF after stock comp was ~23% of revenue in FY24, before capex doubled; the base never climbs back above ~16%.

2 **The capex ROI is the whole question.**
~$130B/yr capex (~2x prior year) is the bear; volume AND price accelerated in Q1'26, and revenue still grew +28% in Q2.

3 **Cash flow self-funds the buildout.**
Operating cash flow covered ~$70B of FY25 capex plus ~$26B of buybacks and ~$5B of dividends, and H1'26's $49B of capex.

4 **AI is already monetizing in the core ad stack.**
Proprietary Muse Spark ad-creative and AI ranking are live; adopters doubled to ~8M, with impressions +19% and price/ad +12% Q1'26.

5 **Breakup risk is materially reduced.**
Meta won the FTC antitrust trial (Nov-2025) and keeps Instagram/WhatsApp; the Jan-2026 appeal leaves a tail, not the breakup case.

FALSIFICATION TRIGGERS

Bull validation

ad revenue stays >=20% with BOTH impressions and price/ad rising · operating margin holds >=40% through the D&A step-up · FCF after stock comp tops ~16% of revenue · AI-ad adoption keeps compounding

Bear validation

ad growth decelerates into the mid-single digits · operating margin falls below ~38% as D&A outgrows revenue · FCF after stock comp stuck near ~10% of revenue · Reality Labs loss widens beyond ~$24B/yr

Reframe needed

if the ~$130B/yr capex visibly fails to earn its cost of capital - ad growth fades while D&A keeps climbing - re-rate the terminal toward a slow-growth, capex-heavy ad utility

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

Family of Apps — Meta's core ad business - Facebook, Instagram, WhatsApp, Messenger (~99% of revenue, 41%+ margin); the social-graph ad engine the DCF rests on.

Impressions x price/ad — The two ad-revenue drivers (Q1'26 +19% volume, +12% price); AI lifting both is the bull mechanism, a soft cycle the bear.

Reality Labs — The AR/VR/metaverse segment (~$24B/yr operating loss, ~$80B cumulative); a structural drag on margin and the bear's concrete cost line.

FCF after stock comp — Free cash flow less stock comp, which reported FCF adds back: ~13% of revenue in FY25, ~23% in FY24; the valuation's basis.

AI capex / ROI — The $130-145B FY26 buildout (~2x the prior ~$72B) of AI compute; whether it earns its cost of capital via faster, higher-priced ads is the biggest swing.